Vendor Due Diligence Procedures

CYPADI LTD · CYP-VDD-001 · VERSION 1.1 · INTERNAL – CONFIDENTIAL

Document control

Document title	Vendor Due Diligence Procedures
Document reference	CYP-VDD-001
Version	1.1
Organisation	CYPADI LTD
Legal form	Private limited company incorporated in Rwanda
RDB registration number	123088034
Registered address	Kimironko, Gasabo, Kigali, Rwanda
Business activity	Operation of the online marketplace shop.cypadi.com
Procedure owner	Pacifique MASENGESHO, Compliance Officer — compliance@cypadi.com, +250 792 359 800
Approved by	Pacifique MASENGESHO, Managing Director
Effective date	10 November 2026
Next scheduled review	Twelve (12) months from the effective date, and on any material change
Related documents	KYC and Anti-Money Laundering Policy (CYP-AML-001); Vendor Agreement; Privacy Policy; Terms of Service
Classification	Internal — may be shared with payment partners, banks and competent authorities

Version history

Version	Date	Summary of change
1.0	July 2026	Initial issue.
1.1	10 November 2026	Document control added; the approval gate enforced by the platform is described step by step; identity and business verification standards set; prohibited product list added; vendor risk rating, screening, ongoing monitoring and five-year retention added; settlement rule stated; refusal, training and review sections added.

1. Purpose

This document sets out the checks Cypadi Ltd performs before allowing a vendor (seller) to publish products on shop.cypadi.com or to receive any settlement, and the checks performed while the relationship continues. It exists so that every person reviewing a vendor application applies the same standard, and so that the decision taken on an application can be shown to a payment partner, a bank or a competent authority.

These procedures operate together with the **KYC and Anti-Money Laundering Policy (CYP-AML-001)**. Where the two documents differ, the stricter requirement applies.

2. Scope and business model

Cypadi operates **shop.cypadi.com**, an online marketplace in Rwanda. Independent vendors list products; customers order and pay in Rwandan francs by MTN Mobile Money or Airtel Money; Cypadi collects the payment, approves and monitors the vendor, and settles the vendor once an order has been completed under section 11.

These procedures apply to every vendor application, whether the applicant is an individual trader or a registered business, and to every administrator who reviews an application or takes a decision on one.

3. Definitions

Term	Meaning
Applicant	A person who has registered a seller account and is waiting for a decision.
Vendor	An applicant whose application has been approved and who may publish listings.
Identity document	A national identity card or passport, supplied as a scan or photograph. Accepted formats are JPG, PNG, WEBP and PDF, up to 5 MB.
Decision	Approval, rejection or later suspension, recorded against the vendor account together with the reason and the date.
Settlement	Payment by Cypadi to a vendor of the product price of a completed order, less the commission stated in the Vendor Agreement.
Compliance Officer	The person named in the document control table, responsible for applying these procedures under the KYC and AML Policy.

4. The approval gate

Cypadi enforces vendor approval in the platform itself, not only on paper. A seller account carries a review status — **pending**, **approved** or **rejected** — and only the status *approved* permits a listing to exist.

4.1 Application

A person registering a seller account supplies, and may not submit the application without:

- full name, email address and mobile number;
- business name, where the applicant trades under one;
- country of operation;
- national identity card or passport number;
- a scan or photograph of the identity document itself.

The account is created with the review status **pending**. The status is set by the platform at registration and cannot be chosen by the applicant.

4.2 Blocking until approval

While the status is pending or rejected, the platform redirects the seller away from every seller page to a review notice. The applicant cannot open the seller dashboard, cannot add or edit a product, and therefore cannot publish a listing. This is a technical control applied on every request, not a statement of intent.

4.3 Review

The administrator opens **Admin → Sellers → Awaiting review**, which lists every pending application with the applicant name, business name, country, identity number, mobile number and email, and a link that opens the uploaded identity document. The document is streamed only to a signed-in administrator, or to the seller who uploaded it; it is never a public file, and a record whose file is missing is flagged for the administrator rather than silently ignored.

4.4 Decision

The administrator approves or rejects the application in the same screen. Rejection records a reason, which the applicant sees on the review page. Approval changes the status to **approved** and the seller dashboard and product upload become reachable on the next request.

4.5 Re-submission

A pending or rejected applicant may replace the identity document from the review page. A replacement returns the application to the queue, clears the earlier rejection reason, and deletes the replaced file, so the administrator always reviews the document currently on record. An approved seller cannot use this route.

4.6 Later restriction

An approved seller can be blocked from the same screen. A blocked seller cannot list, and settlement is withheld under section 11 until the block is lifted.

5. What is verified before approval

The administrator is required to check each of the following before approving. Any item that fails, and cannot be resolved, results in rejection with a reason.

Check	Standard applied
Document readable	The identity document is legible, complete, and unaltered. A cropped, blurred or obviously edited image is refused.
Number matches	The identity number typed at registration matches the number on the document.
Name matches	The name on the document matches the account holder, or the difference is explained and recorded.
Document in date	The document has not expired.
Person exists	The applicant is a real, contactable person: the mobile number is reachable and the email address is valid.
Business claimed	Where a business name is given, the business registration number is recorded in the vendor file.
Products declared	The product categories the applicant intends to sell are compared against the prohibited list in section 6.

Check	Standard applied
Screening	Sanctions, PEP and adverse media screening under section 8 has been run and recorded.
Settlement number	The mobile money number that will receive settlement is recorded and belongs to the applicant or to the declared business.

6. Prohibited products and services

The following may not be listed on shop.cypadi.com, whatever the vendor's status. A listing in these categories is removed and the vendor is suspended under section 12.

Prohibited category	Examples and notes
Weapons and ammunition	Firearms, parts, ammunition, explosives, and knives designed as weapons.
Narcotics and precursors	Controlled drugs, psychoactive substances, and the chemicals used to make them.
Unlicensed medicines	Prescription medicines, unregistered or counterfeit pharmaceuticals, and medical devices requiring authorisation.
Human material	Blood, plasma, organs, tissue, and human remains.
Live animals and protected species	Live animals, wildlife, ivory, and any product of a protected species.
Counterfeit goods	Copies of branded goods, and unauthorised reproductions of protected works.
Precious minerals	Gold, coltan, cassiterite, wolframite and gemstones offered without the licence required in Rwanda.
Tobacco and alcohol	Sold only where the vendor holds the RRA licence and the age restriction is stated; otherwise refused.
Adult content	Pornography and sexual services.
Gambling and betting	Lottery tickets, betting products and gambling services.
Financial and regulated services	Money transfer, currency exchange, lending, insurance, crypto-asset trading, and investment products.
Stolen or fraudulently obtained goods	Any item the vendor cannot show a lawful right to sell, including SIM cards registered to another person and second-hand mobile phones without proof of ownership.
Personal data and accounts	Databases, lists of personal data, and account credentials.
Recalled or unsafe goods	Products subject to a safety recall, and electrical goods without a valid certification mark.

7. Vendor risk rating

Every approved vendor is given a risk rating. The rating is recorded in the vendor file, determines how closely the vendor is monitored, and fixes the re-review date.

Rating	Indicators	Applied controls	Re-review
Low	Identity verified against the document; business category low-risk; trading history consistent; settlement number matches the owner; no adverse findings.	Standard monitoring.	Every 24 months
Medium	Trading less than twelve months; business registration not yet supplied; higher-fraud categories such as electronics, mobile phones and cosmetics; a sales pattern that cannot be reconciled with the declared business.	Business registration required within thirty days; transaction limits; manual review of settlements.	Every 12 months
High	Politically exposed person; adverse media; identity or settlement number inconsistent with the owner; a change of settlement number shortly after approval; repeated refunds, cancellations or customer complaints; any application Cypadi cannot verify.	Compliance Officer approval for each listing and each settlement; settlement held until cleared.	Every 6 months

8. Sanctions, PEP and adverse media screening

Before approval, and on the re-review interval in section 7, the Compliance Officer screens the vendor owner, and any declared beneficial owner of the business, against:

- the United Nations Security Council consolidated sanctions list;
- the OFAC Specially Designated Nationals list of the United States Treasury;
- the European Union consolidated sanctions list;
- the Rwandan gazette of designated persons and entities;
- adverse media reporting relating to financial crime.

The lists consulted, the result and the date of screening are written into the vendor file. A confirmed match results in refusal of the application, or termination of an existing relationship, and a report to the Financial Intelligence Centre where required.

9. Decision record

Every decision on an application is recorded in the vendor file. The record contains:

- the applicant name and the date the application was submitted;
- the identity number and the identity document reviewed;
- the business name and, where claimed, the business registration number;
- the product categories approved, and any category refused under section 6;
- the risk rating given under section 7, and the reason for it;
- the result of sanctions, PEP and adverse media screening under section 8;
- the name of the administrator who took the decision, the decision itself, and its date;
- where the application was rejected, the reason given to the applicant.

The record is retained under section 14 and is produced on request to the payment partner or a competent authority.

10. Ongoing monitoring

For as long as a vendor is approved, Cypadi monitors:

- the listings published, against the declared categories and the prohibited list in section 6;
- sales volume and average order value, against the level expected for the category;
- the refund, cancellation and customer-complaint rate;
- settlement requests, and any change of the settlement number;
- any change of business name, ownership or product category, which is treated as a new application for the changed element.

An indicator that falls outside the expected pattern is recorded, examined by the Compliance Officer within one business day, and results in one of: no action with the reason recorded, a request for further information, a change of risk rating, suspension under section 12, or a report to the Financial Intelligence Centre.

11. Settlement to vendors

Cypadi collects the customer payment through PawaPay into its settlement account and pays the vendor from that account. The rule is fixed and is applied to every vendor without exception:

- **Trigger.** Settlement falls due **within three (3) working days after the customer confirms delivery** of the order.
- **Source.** Payment is made **from Cypadi's own settlement account**, by mobile money to the settlement number recorded in the vendor file.
- **Amount.** The product price of the completed order, less the commission stated in the Vendor Agreement. Delivery charges are not part of the vendor share.
- **No confirmation from the customer.** The order is treated as completed and enters the settlement run seven (7) days after the delivery record is created, unless the customer has raised a dispute.
- **Withheld.** Settlement is withheld where the order is cancelled, refunded or disputed, where an alert under section 10 or a report to the Financial Intelligence Centre is open, where the vendor is suspended or blocked, or where the settlement number is being changed. The vendor is told the settlement is on hold; the ground for a report is never disclosed.
- **Ledger.** Every order is recorded in the settlement ledger with the amount collected, the commission applied, the amount released, the release date and the mobile money transaction reference, and the ledger is reconciled against the payment partner statement at least monthly.

12. Refusal, suspension and termination

Cypadi refuses an application, or suspends or terminates an approved vendor, where:

- the identity document is missing, unreadable, expired or does not match the details supplied;
- the vendor intends to sell a prohibited category under section 6;
- sanctions, PEP or adverse media screening returns a confirmed match;
- the vendor supplies false or misleading information, or refuses to supply information requested;
- monitoring under section 10 shows activity inconsistent with the declared business, or a pattern indicating fraud or money laundering;

- the vendor requests early settlement, or changes its settlement number, without a satisfactory explanation.

Suspension takes effect immediately: the status is changed so that no listing can be published, and settlement is withheld. The decision, the reason and the date are recorded in the vendor file. A suspended vendor may re-apply once the ground for suspension has been resolved, and the new application goes through the full gate in section 4. Where a customer has paid for an order that cannot be fulfilled, the payment is refunded to the original paying number.

13. Refunds and disputes

Where a customer disputes an order, settlement to the vendor is held until the dispute is closed. If the dispute is resolved in the customer's favour, the payment is refunded to the original paying number and the vendor is not settled for that order. The refund and its reason are recorded in the settlement ledger.

14. Record keeping and retention

Cypadi retains the application data, the identity document image, the verification checks performed, the risk rating, the screening result, the decision record, the settlement ledger, the monitoring records and any investigation file for **five (5) years after the end of the vendor relationship**, or for such longer period as the Financial Intelligence Centre or a competent authority directs. Records are held on access-controlled systems; identity documents are served only to a signed-in administrator or to the vendor who uploaded the document, and never as public files.

15. Roles, training and awareness

The **Managing Director** is accountable for these procedures and approves them. The **Compliance Officer** owns them, takes or countersigns every vendor decision, runs the screening in section 8, and keeps the decision records. Every administrator with access to vendor applications is briefed on these procedures at induction and at least annually, covering the verification checks in section 5, the prohibited list in section 6, the risk rating in section 7, the settlement rule in section 11 and the escalation route. Attendance is recorded.

16. Review and amendment

These procedures are reviewed at least every twelve (12) months, and immediately on any material change in the Cypadi business model, product range, payment providers or applicable law, or following any serious compliance incident or vendor suspension for financial-crime reasons. Amendments are recorded in the version history table, approved by the Managing Director and issued as a new version number.

Approval

These procedures were approved by the Managing Director of Cypadi Ltd on the date shown below and take effect from that date.

SIGNED FOR AND ON BEHALF OF CYPADI LTD

Signature

Pacifique MASENGESHO
Managing Director, Cypadi Ltd

Date: 10 November 2026

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